WAVERLEY GATEWAY GUIDE

Connecting International Capital

AUSTRIA

Europe

Information current as of November 2026

Dialogue | Trust | Partnership

office@lordwaverley.com
www.lordwaverley.com

WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Vienna	Capital and regional headquarters hub for Central and Eastern Europe; seat of government, the Oesterreichische Nationalbank and several UN and international organisations	Regional headquarters, ICT, life sciences, finance, professional services
Upper Austria (Linz)	Industrial heartland and home to voestalpine, which is investing €1.5 billion in electric arc furnaces for low-carbon steel from 2027	Steel and green industry, machinery, chemicals, automotive supply
Styria (Graz)	Engineering and automotive cluster with strong university and research links, and the Donawitz steelworks also moving to electric arc production	Automotive and mobility, engineering, green technology
Carinthia (Villach and Klagenfurt)	Southern industrial region with a microelectronics and research cluster close to Italy and Slovenia	Semiconductors, electronics, research and development
Lower Austria	Region surrounding Vienna with industrial parks, logistics links to the Danube and borders with Czechia and Slovakia	Manufacturing, logistics, food processing, energy
Tyrol and Salzburg	Alpine regions on the Brenner and other key transit routes, combining world-class tourism with specialist industry	Tourism, pharmaceuticals, precision engineering
Vorarlberg	Highly export-oriented western region bordering Switzerland, Germany and Liechtenstein	Precision manufacturing, textiles, food, logistics

INVESTOR ENTRY ROUTES

- Austrian Business Agency (ABA) provides free location consulting, site search and support with permits and skilled-worker recruitment; it supported 283 company relocations and expansions in 2025
- A 23% corporate income tax, group taxation for companies linked by more than 50% ownership, and more than 90 double taxation agreements
- A 14% research premium on R&D expenditure, paid out even without a profit, certified by the Austrian Research Promotion Agency (FFG)
- Industry Strategy 2035, with €2.6 billion for research and development in nine key technologies by 2029 and a planned industrial electricity price from 2027

- Euro-area membership: the euro is the national currency, with free movement of capital and no exchange controls
- EU single-market and Schengen membership, giving free movement of goods, services, capital and people
- Red-White-Red Card and EU Blue Card routes for recruiting skilled workers from outside the EU, supported by ABA's Work in Austria service

MARKET-ENTRY OBSERVATION

Austria in November 2026 offers investors a wealthy, highly skilled and stable euro-area economy at the heart of Central Europe, with a long record as a regional headquarters base for Central and Eastern Europe. The economy has emerged from the 2023–2024 recession: GDP grew 0.7% in 2025 and returned to growth in the third quarter of 2026, up 0.2% on the previous quarter, with WIFO forecasting 0.9% growth in 2026 and 1.3% in 2027. Investor interest remains strong: the Austrian Business Agency recorded a record 26,736 consultations in 2025 and supported 283 relocations and expansions, worth about €900 million and over 2,700 jobs, led by ICT and life sciences. The government's Industry Strategy 2035, launched in early 2026, commits €2.6 billion to research in key technologies, and voestalpine's €1.5 billion green-steel investment shows the scale of industrial renewal under way.

Austria's main structural challenge is restoring competitiveness and public finances after a period of high inflation and weak growth. Consumer price inflation was 3.6% in October 2026, driven by energy prices up 16.5%, the 2025 budget deficit was 4.1% of GDP and public debt 81.5%, and Austria has been under an EU excessive deficit procedure since 2025. The response is clear: the coalition government has committed to consolidating the budget within EU fiscal rules, the fuel price brake has been extended, and Industry Strategy 2035 targets energy costs and innovation. Austria's strengths remain considerable, including the euro, a highly skilled workforce, strong research capacity and a central location, creating opportunities in advanced manufacturing, green technology, life sciences and ICT.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Public finances and EU excessive deficit procedure	The deficit was 4.1% of GDP in 2025 and is forecast at about 4% in 2026, with consolidation measures under an EU procedure	Austria's strong credit standing and EU framework anchor consolidation; monitor tax and subsidy changes in each budget
Inflation and energy costs	Inflation was 3.6% in October 2026 and energy prices rose 16.5%, raising wage and input costs	Plan for wage-indexation rounds and use the planned industrial electricity price, efficiency investment and long-term energy contracts
Labour costs and skills shortages	High labour costs and shortages of skilled workers in technical fields add to operating costs	Use the Red-White-Red Card, ABA's Work in Austria service and apprenticeship partnerships
Regulation and permitting	Approval and environmental procedures for industrial and energy projects can be lengthy	Engage ABA and provincial agencies early and prepare complete permit applications
Russia-related exposure	Raiffeisen Bank International is winding down its Russian business, but any sale requires Russian government approval; OMV ended its Gazprom gas contract in December 2024	Apply EU sanctions screening to all Russia-linked counterparts and take specialist sanctions advice
Slow growth	Growth is forecast at under 1% in 2026, weighed down by energy prices and weak demand	Use the cyclical slowdown to secure sites and talent, with WIFO forecasting stronger growth in 2027
Political landscape	The opposition Freedom Party came first in the 2024 election with 28% of the vote	The ÖVP-SPÖ-NEOS coalition governs with a programme committed to EU fiscal rules; monitor policy ahead of the next election

INVESTOR RISK NOTE

Austria's risk profile is that of a wealthy, stable euro-area member with strong institutions, high living standards and deep legal certainty under EU law. A three-party coalition of the ÖVP, SPÖ and NEOS under Chancellor Christian Stocker took office in March 2025, committed to consolidating the budget within EU rules. The main near-term issues are the fiscal deficit, now under an EU excessive deficit procedure, inflation of 3.6% in October 2026 driven by energy prices, and slow growth; each is being addressed through consolidation measures, energy relief and Industry Strategy 2035. As a euro member, Austria's monetary policy is set by the ECB, which raised its deposit rate to 2.5% in September 2026 and held it in October. Investors with links to Russia should apply EU sanctions screening and take specialist advice, as Austrian banks and energy groups are still unwinding legacy exposures.

MARKET ACCESS

As an EU and euro-area member, Austria gives investors tariff-free access to the EU single market and all of the EU's free trade agreements, with WTO membership and the EU's common trade policy governing trade with third countries. Germany is its largest trading partner, and Austria's location on the Danube and the main Alpine transit routes connects it with Central and Eastern Europe, Italy and the Balkans. Vienna is a long-established gateway for companies managing Central and Eastern European operations. Austria's gas supply has diversified since OMV ended its Gazprom contract in December 2024, and its role as a Central European gas and power hub supports industrial investment.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Federal Chancellery (Chancellor Christian Stocker)	Leads the ÖVP-SPÖ-NEOS coalition that took office in March 2025 and sets economic and fiscal priorities	Primary reference point for strategic policy and major projects
Austrian Business Agency (ABA)	National investment promotion agency supporting relocations, expansions and skilled-worker recruitment	Standard first point of contact for market entry, sites and permits
Oesterreichische Nationalbank (OeNB)	National central bank within the Eurosystem; its governor sits on the ECB Governing Council	Relevant for financial stability, payments and banking matters
Federal Ministry of Finance	Leads the budget, tax policy and the response to the EU excessive deficit procedure	Key counterpart on tax, incentives and public finance
Federal Ministry of Economy, Energy and Tourism	Responsible for Industry Strategy 2035, energy policy and business location policy	Relevant for industrial incentives, energy costs and tourism investment
Austrian Research Promotion Agency (FFG) and Austria Wirtschaftsservice (aws)	Public funders for research, innovation and business growth; FFG certifies the research premium	Key partners for R&D funding, grants and guarantees
Austrian Federal Economic Chamber (WKO)	Statutory business chamber representing all companies and running the Advantage Austria trade network	Valuable for market intelligence, partner searches and introductions

CURRENT INTERNATIONAL BUSINESS CHANNELS

The Austrian Federal Economic Chamber (WKO) and its Advantage Austria network of offices abroad are the main channels for business introductions and market intelligence, alongside the Federation of Austrian Industries and bilateral chambers such as the American Chamber of Commerce in Austria. Provincial business agencies, including the Vienna Business Agency and Business Upper Austria, support site selection and cluster partnerships at regional level. The Austrian Business Agency hosts investor events, while FFG and aws provide research and growth funding. Vienna is also home to international organisations including OPEC, the IAEA and UNIDO, which bring a steady flow of international events and networks.

INVESTOR PROFILE BEST SUITED

Austria suits investors seeking a stable, high-skill euro-area base with excellent research capacity: companies establishing regional headquarters for Central and Eastern Europe in Vienna; advanced manufacturers and automotive, machinery and steel-chain suppliers in Upper Austria and Styria; ICT, life-sciences and pharmaceutical firms using the 14% research premium; green-technology and energy investors supporting industrial decarbonisation; and tourism investors in the Alpine regions. Investors with Russia-linked counterparts should apply EU sanctions screening.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage the Austrian Business Agency
Use ABA's free location consulting to compare sites, regional incentives, permit routes and skilled-worker options.

STEP 2: Structure for tax and research incentives
Assess group taxation, treaty benefits and eligibility for the 14% research premium and FFG or aws funding.

STEP 3: Shortlist regions and clusters
Compare Vienna, Upper Austria, Styria and Carinthia according to sector clusters, supplier networks and talent pools.

STEP 4: Plan for energy, wage and fiscal developments
Build energy-price and wage-indexation scenarios into models and track budget measures under the excessive deficit procedure.

STEP 5: Screen counterparts for sanctions exposure
Apply EU sanctions screening to any Russia-linked partners or payment channels and take specialist advice where needed.